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CHAPTER

ULQ5LG

Electronic Payment Systems

LEARNING OBJECTIVES

- To understand what is Electronic payment systems
- To know the various types of E-payment methods
- To learn the basics of
  - Card Based Payment Systems
  - Electronic Account Transfer
  - Electronic Cash Payment Systems
  - Mobile Payment and Internet Payment Systems

16.1 Introduction to Electronic Payment systems

Everyday people buy or sell goods and services for money. Money becomes the major medium of exchange. Later some payment systems were developed out of a need to facilitate the growth of commerce and economic development.

The media used for transferring the value of money is very diversified, ranging from the use of simple payment instruments (e.g. cash) to the use of complex systems (e.g. cryptocurrency). Physical money (cash), is the traditional and most widely used payment instrument that consumers use, in their daily lives to buy goods and services.

As the volume and variety of transactions expands, the volume of money also expand. Using cash for each of large transactions is neither feasible nor practically possible. Security and transportation problems arise in cases where large amounts of cash transactions are involved.

Banks would support in such cases by offering other payment methods. The cashless society has been discussed for long time. The demise of cash and cheques could not be sudden. Though old habits hardly die, people do not hesitate adapting new things.

Definition

An Electronic payment system is a financial arrangement that consists of an intermediator to facilitate transfer of money-substitute between a payer and

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